

The gold standard



Under the gold standard, gold is used as currency – or more commonly, paper currency can be converted into gold. The gold standard was in use in the early part of the 20th century and some look back on it with nostalgia, believing it to have enhanced the stability of the international monetary system. Under the gold standard, currencies are given a set value in terms of gold. This means that their values in terms of other currencies – their exchange rates – are also fixed. When this works well, it can reduce trading uncertainties. It can also hold governments to the maintenance of price stability because the authorities cannot easily expand a money supply that has to be backed by the gold to honour it. However, at other times this can act as a straitjacket on economies: during the Great Depression it limited the ability of governments to stimulate their economies through expansion of the money supply, prolonging the

downturn. While many economists value price discipline and stable currencies, few would now advocate a return to a traditional gold standard.